(c) Assets appearing in the previous year's balance sheet, that is, in the opening balance sheet, should be taken on the assets side of the current year balance sheet and adjustments must be made for any change taking place during the year. While taking such assets, additional assets purchased should be added and assets sold should be subtracted. Depreciation on such assets should also be adjusted.

Tutorial note: New assets purchased or assets sold are to be found out by referring to the receipts and payments account.

(d) Prepaid expenses and accrued incomes as at the end of the current year should be taken to the assets side of the balance sheet.

(e) Outstanding expenses at the end of the current year and any income received in advance during the current year should be taken to the liabilities side of the balance sheet.

(f) If there are any specific funds such as tournament fund, prize fund, etc., these funds should be shown on the liabilities side of the balance sheet separately. Any income to the fund should be added to the fund account and expenses relating to the fund should be subtracted from the fund account in the balance sheet.

(g) If there is any specific fund investment, that should be taken to the assets side of the balance sheet.



A trial balance can also be prepared for a not–for–profit organisation by taking various ledger balances available. The total of debit balances will be equal to the total of credit balances. Expenses, losses and assets will have debit balances. Revenues, gains and liabilities will have credit balances.

Comprehensive problems

Illustration 17

From the following Receipts and Payments Account of Friends Football club, for the year ending 31st March, 2017, prepare Income and Expenditure Account for the year ending 31st March, 2017 and the Balance sheet as on that date.

In the books of Friends Football Club

Dr. Receipts and Payments Account for the year ended 31st March, 2017 Cr.

Receipts	₹	₹	Payments	₹	₹
To Balance b/d			By Furniture		7,000
Cash	1,000		By Sports materials purchased		800
Bank	10,000	11,000	By Special dinner expenses		1,500
To Subscriptions		5,000	By Electricity charges		900
To Legacies		6,000	By Balance c/d		
To Collection for special			Cash in hand	1,800	
dinner		2,000	Cash at bank	12,000	13,800
		24,000			24,000

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